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you write it,
you zap it,
I print it.

welcome to
stacker news zine

what's SNZ?
8 pages that recap
this week in bitcoin

created by
@plebpoet

Note from the Editor

I want to express my gratitude for the diligent and discerning of you who give back by what you post. You don't have to, you could keep your valuable understanding to yourself and, in some cases, be better off for it. Thank you for sharing what's important to you.

There is much that I find to be thankful for, not being hacked is one example.

[500K BOUNTY] DEWHIRLPOOLER VISUALIZER

39.2K SATS \ 39 COMMENTS \ **@KRUW** 25 JUL COINJOINS

ZAPS FORWARDED TO **@NOPARA73** (10%)



See: #1532477

Whirlpool has worse privacy, fees, speed, and custody model than a regular Bitcoin payment:

- The privacy is worse than sending normal on chain payments because tx0 always reveals common input ownership and creates change
 - The fee is worse than on chain payments because the victim wastes fees in tx0, wastes fees remixing sybil attackers, and wastes fees paying the coordinator (feeding the attacker)
 - The speed is worse than a regular payment because you have to confirm tx0, then Whirlpool, then spend. Best case scenario 30 minutes.
 - The trust model is worse than a regular payment because the coordinator can just steal your fees in tx0 and never whirlpool your coins.
- Samurai's absence from the community unironically prevented Bitcoin from being destroyed. It is a downgrade for users in every possible category, see an example here: <https://bitcointalk.org/index.php?topic=5482818.msg63551707#msg63551707>

I had a fantasy about building a tool that shows your exposed Whirlpool data for a long time, but it would have been pointless since it would not include the xpub data from Samurai and the Electrum data from Sparrow. But now it is relevant since Ashigaru at least requires Tor, so a tool that tracks the on chain peeling that is built in to tx0 would be mostly accurate from a third party blockchain viewer perspective.

500k sat bounty to the user who builds this app/plugin for your Bitcoin node. This code is terribly outdated and inefficient, but it might help you get started on top of the Bitcointalk post: <https://github.com/nopara73/dumplings>

550 sats \ 1 reply \ **@Kruw** OP 1 Aug
SUBMISSIONS CLOSED

@clenchwallet I will test and review your submission. You will be awarded your bounty by the end of the week if it works!

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[ZCASH EDITION] | | BITCOIN IS THE SHITCOIN KILLER

16.3K SATS \ 7 COMMENTS \ @KRUW 25 JUL COINJOINS



Some Bitcoiners aren't afraid to throw every shitcoin in the same "scam" bucket. Some Bitcoiners are afraid to challenge shitcoin narratives at all. This series, *Bitcoin is the shitcoin killer*, explains how Satoshi oneshotted the Bitcoin design, and the underlying reasons why predecessor coins were unable to duplicate its success.

**TODAY, WE ARE SLAYING SHITCOIN NUMBER 16:
ZCASH | ZEC | \$483.46 | 0.0075 BTC | MCAP \$8.1B**

Zcash is a fork of Bitcoin's PoW & UTXO model originally designed by Satoshi. The variation is that Zcash deploys the "Zerocoin" protocol for theoretically perfect privacy. There are 4 sequential "shielded" pools where users can deposit their regular Zcash from the transparent chain.

So, why are there 4 pools? Why is there a transparent chain at all? Why did they create new tokens from genesis instead of forking Bitcoin to add their feature?

- The 4 pools are vestigial artifacts from bugs and upgrades. Zerocoin's zk privacy properties make it impossible for users to verify that counterfeit coins were not generated inside a specific shielded pool.
- The first pool required a "trusted setup" where 1 of n participants generate entropy and delete their toxic waste. We'll assume this was performed correctly, but it was an early criticism
- This pool had a bug responsibly disclosed, and silently patched

- Here is where you must have realized the purpose of the transparent chain: **Inflation on the transparent chain is detectable, and it bridges all 4 pools together**
- So rational holding occurs on the transparent chain, and opt in privacy occurs in, out, and within the shielded pools
- Pool 2 was killed by upgrading to remove the trusted setup
- Pool 3 was killed by a responsibly disclosed hidden inflation exploit, same as pool 1
- Pool 4 is still in development, so Zcash privacy is halted
- Oh yeah, and the shitcoiners who created the chain grease their hands by taking 20% of the block rewards directly from miners, by "consensus"

The reason the Zcash transparent chain is a boring variant of Bitcoin's purity is because the all the value should exist in the pools, and if the pool gets drained, then the transparent sister chain is a benefit for the attacker, not the victims. So now we live in a future where all the privacy concious people go broke, hackers get rich, and greedy dumbasses who use the transparent chain get protected.

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2133 sats \ 1 reply \ @Scoresby 25 Jul

Do you think a similar problem exists with all zk stuff on Bitcoin (at least when amounts are shielded)?

Or do you think there are places in Bitcoin where zkproofs could be useful?

973 sats \ 0 replies \ @Kruw OP 26 Jul

1. I am not a cryptographer, but I prodded one who said yes: There is no guarantee of zk tx flow when you have complete anonymity
2. Why yes, thanks for asking: We use zkproofs all over different coinjoin protocols. Instead of putting the proofs on chain and making everyone verify them, you have a coordinator that constructs the zk ceremony for users to homomorphically commit their addresses to (okay fine I'll stop here). Counterfeit inflation never gets executed on the base chain because a zero knowledge bug in the coinjoin pool just looks like an invalid transaction. Nodes reject these transactions without even checking whether or not it looks like a coinjoin.

If you are mining, your choice is more complicated since you have an actual cost to mine, but your payout depends on the outcome. If you feel strongly about the outcome, you should mine in support for your preferred outcome. If you don't feel strongly, you could either guess what you consider to emerge as the likely majority chain and mine that for higher revenue, or wait for a while until the dust settles to save your cost of mining.

USER REPORTS THEIR COLDCARD WALLET BEING DRAINED ON REDDIT

21.7K SATS \ 159 COMMENTS \ @MURCH 30 JUL BITCOIN



The recipient address of the alleged hack has collected over

590 bitcoins in under an hour yesterday evening. One other reply in the thread saying it also happened to them, but the second one is spotty on details. I heard from another independent case, also a Coldcard wallet, but the situation is still developing.

Summary of Situation as of this Time

ACTION RECOMMENDATION: PLEASE CAREFULLY MOVE FUNDS STORED ON COLDCARD WALLETS CREATED FROM DEVICE-GENERATED ENTROPY TO UNAFFECTED WALLETS ASAP.

Any funds on a **COLDCARD Mk3 using a firmware from version 4.0.1 (March 2021) to 4.1.9 (latest version as of yesterday)**, where the entropy was only generated by the device, **should be considered compromised**. COLDCARD Mk4, Mk5, and Q are affected by the same issue to a lesser degree. Wallets generated by those devices are at risk of theft. Wallets that pair the device entropy with a strong passphrase or wallets created with externally generated entropy with at least 50 dice throws should not be exposed. If you used a weak passphrase and did not input external entropy (at least fifty dice throws), your funds are at risk.

Coinkite has released firmware updates for COLDCARD Mk3, Mk4, Mk5, and Q. Wallets generated with the new firmware should be secure. **Updating to the new firmware does not make affected wallets secure. Only new wallets generated with the new firmware are unaffected.** Coinkite put out a security advisory. The security advisory has been updated to include more devices, more details about the issue, and migration advice.

Block security researchers reports that the COLDCARD Mk2 is affected the same way as the Mk3.

Anyone with access to a frontier AI model is capable of reproducing the attack. Especially if you have funds on a COLDCARD single-sig wallet created with wallet-generated entropy, please carefully **move your funds to an unaffected wallet ASAP**. Single-sig wallets with a weak passphrase, or multisig wallets that can be spent by a quorum of COLDCARD wallets or composed only of COLDCARD wallets created with device-generated entropy should be considered at risk and funds should also be moved.

1341 sats \ 1 reply \ @k00b 30 Jul

update with complete timeline/story from reddit OP:

https://www.reddit.com/r/Bitcoin/comments/1vb6teq/wallet_drained_timeline/

371 sats \ 3 replies \ @murch OP 30 Jul

Over 1300 UTXOs were spent toward the alleged attacker's address, and we have had multiple different reports, so it's likely that this affects a larger number of people.

584 sats \ 4 replies \ @didiplaywell 30 Jul

Superbly fast and comprehensible coverage on the situation. Thank you SN community

783 sats \ 15 replies \ @028559d218 30 Jul

For those of you who can't or won't say it:

This is an absolute disaster. If Bitcoin isn't secure it is worthless. Multisig should not be necessary it is already complicated enough without multiple keys.

And it really pokes a hole in the whole 'hardware wallet security' industry, you might as well buy a laptop from best buy put linux on it download core and generate your private key that way. It's possible there are many, many users affected and it is quite bad.

"Hacks" like this are not acceptable.



THE FOREST REUNION - HOW I LOST MY PASSION FOR MUSIC.

11.6K SATS \ 10 COMMENTS \ @JASONB
29 JUL BITCOIN



The following probably shares more personal information about parts of my life than the reader may care to know. I'm sharing this as I wrote it as an honest attempt to strengthen the conviction of a potentially tired or jaded reader who believes in, and works toward bitcoin adoption for similar reasons to myself: freedom from unnecessary human control. I'm not quite sure how to make it less personal, and as this post will reveal, I don't reject all authority as a concept outright. Please be forewarned as, to some, either of those inclusions will certainly be more nauseating than the post if helpful, and I do value your time.

I got a rejection letter yesterday

It stung so hard. I am pretty sure that I know exactly why I lost this particular opportunity. It was the end of the second interview and the panel asked, "Can you think of a time when you enforced a policy you disagreed with? How did that play out? We're a highly regulated company and we have to enforce many policies involving KYC rules and other legal compliance."

This should have been my clincher moment. I was uncharacteristically nervous though. My phone (despite actually being plugged in) had just died, interrupting the interview for more than a couple of minutes, and I was feeling tense. I reached in my mind for a period of time in which I enforced a policy that I disagreed with.

The following story is NOT how I lost my passion for music.

Covid

In late 2015, after much of my artistic and touring career had been on hold for a few years, I started a branch of a corporate party band company in a midwestern city. I recruited and trained a couple hundred musicians while also booking and managing a few events a month in another established city about two hours away. By the end of the year, I was booking and managing thirty or more events a month in the new city. That following year, I was tasked with bringing order to another neighboring city a few hours away in which the person in my position had been asked to step down. This experience was brutal, as I came in under high suspicion by the musicians, venues, and other vendors alike. For quite a while, everyone there was hostile. Within about a year and a half, that city was doing as well as mine.

When Covid struck, I was supposed to be on my first true, "do-not-contact," vacation in half a decade, yet I spent the first week harshly enforcing contracts, what I still believe was the correct call. This meant that the client was out of a 20% deposit, no small chunk of change, even for the wealthiest people in society. Nevertheless, it's how we protected our musicians, many with families and typically not the wealthiest people in society if they're working the wedding band circuits.

What I shared with my interviewers last week was what started with a phone call in the Denver airport in March of 2020. Despite building their business in a large swath of the midwest, I was instructed by my superiors to enforce their new policy about Covid related cancellations.

- First off, we are pausing all cancellation payouts for musicians. I was livid, but there was a silver lining. At least all of these high net worth people that had been yelling at me on the phone the last few days of my "vacation" would get their money and peace of mind back.
- Second off...well you probably already guessed it. We're still keeping the deposits.

So here I am, having made this company millions, enforcing the worst of both worlds. We're keeping the deposits despite the crazy circumstances and breaking our contracts with our contractors, despite our agreements to pay out some fees for cancellations. All this, despite my having built them an operation in the region that had made millions by this point. I made my opinion heard, gritted my teeth while enforcing this policy, and finally trained a few people to replace me after a few months.

The exact wrong response

So last week I said some platitudes about living in the real world and ended with this depressing tale, portraying myself as a pushover and a quitter. Both of these preparatives are, of course, accurate. But I still think my decisions reflected both my recognition of the proper need for authority and also the integrity to hold the line in the least destructive manner possible. Simply put, my track record trends toward radical, but not for the sake of being radical. I believe last week that I expressed the exact opposite of this in the way I framed this story.

